Financial_Intermediary_Societies_Act_2055

वित्तीय मध्यस्थताको काम गर्ने संस्था सम्बन्धी ऐन, २०५५

With latest amendments

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GUIDE TO NEPAL'S FINANCIAL INTERMEDIATION BUSINESS ACT, 2055 (1998)

LEGISLATION OVERVIEW

Date of Royal Seal and Publication: 2055/12/17 (March 30, 1999) **Act** No. 29 of the Year 2055

AMENDMENTS

FIRST AMENDMENT (2058)
Date: 2059/4/22
Focus: Operational changes

AMENDING SOME NEPAL ACTS TO STRENGTHEN THE REPUBLIC (2066)
Date: 2066/10/7
Focus: Post-republic adjustments

ACT AMENDING SOME NEPAL ACTS TO MAKE THEM CONSISTENT WITH THE CONSTITUTION OF NEPAL (2075)
Date: 2075/11/19
Focus: Constitutional alignment

PREAMBLE & PRIMARY PURPOSE: WHY THE ACT WAS MADE

UPLIFTING LOW-INCOME POPULATIONS



COLLECTING MICRO-SAVINGS



PROVIDING MICRO-CREDIT (INSTITUTIONAL MANNER)



INVOLVE IN MICRO-ENTERPRISE



IMPROVE ECONOMIC CONDITION

GOAL: POVERTY REDUCTION & ECONOMIC EMPOWERMENT

Chapter 1
Preliminary

Section 1 : Short Title and Commencement
Section 2 : Definition

DEFINITIONS: ACT INTERPRETATION SECTION 2

(a)



"Financial intermediation" means the work of collecting micro-savings and providing micro-credit under this Act.

(b)



"Institution" means an institution registered under the **Institution Registration Act, 2034**, which has obtained a licence to carry on financial intermediation business under this Act.

(c)



"Licence" means a licence given to carry on **financial intermediation business** under **Section 5**.

(d)



"Bank" means **Nepal Rastra Bank** established under the Nepal Rastra Bank Act, 2058.

(e)



"Micro-enterprise" means an income-generating enterprise operated with fewer than ten persons engaged in work.

(f)



"Low-income person" means a person having income lower than that fixed by the Bank from time to time.

(g)



"Group" means a group of low-income persons formed by completing the prescribed process.

(h)



"Collective guarantee" means a written guarantee given to the institution whereby, if any member of a group fails to repay the micro-credit taken by him/her on time, the other members of that group collectively undertake to repay it.

(i)



"Micro-savings" means the savings amount collected by the institution, as fixed by the Bank from time to time, from a low-income person or a group of persons who are members of the institution.

(j)



"Micro-credit" means the loan provided by the institution, up to the limit fixed by the Bank from time to time, for the operation of a micro-enterprise.

(k)



"Debtor" means a group, or any member of a group, that takes micro-credit from the institution.

(l) **"Security"** means movable or immovable property given as mortgage, pledge, or in any other manner in accordance with prevailing law when taking micro-credit.

(m)



"Employee" means a person appointed by the institution to work, whether remunerated or not, and this term also includes an officeholder of the institution.

(n)



"Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules or Bye-laws framed under this Act.

Chapter-2 Provisions Relating to Licence

Section 3: Not to Carry on Financial Intermediation Business without Licence
Section 4: Application to be Made for Licence
Section 5: Licence to be Given
Section 6: Power to Prescribe Conditions
Section 7: Renewal to be Made

CHAPTER 2 – PROVISIONS RELATING TO LICENCE



SECTION 3 – LICENCE MANDATORY

No person may carry on financial intermediation business without a licence under the Act.





SECTION 4 – APPLICATION FOR LICENCE

A registered institution must apply to the Bank in the prescribed format, providing:

- registration and constitutional documents,
- details of officeholders and members,
- assets,
- proposed geographical area, and other prescribed information.



SECTION 5 – GRANT OF LICENCE

The Bank examines the application and may request additional information. If satisfied, it grants the licence upon payment of the prescribed fee.

within 75 days

- The licence or rejection notice must be issued within 75 days of receiving the application or requested additional information.
- Sub-section (4) has been deleted.



SECTION 6 – CONDITIONS OF LICENCE

The Bank may impose conditions while granting a licence.
The institution is required to comply with those conditions.





SECTION 7 – RENEWAL OF LICENCE

The licence must be renewed every 2 years as prescribed.

Failure to renew within the prescribed period results in automatic cancellation.

Other renewal procedures are as prescribed.



Chapter-3 Functions, Duties and Powers of the Institution

Section 8: Functions, Duties and Powers of the Institution
Section 9: Power to Demand Details, Statistics, or Documents
Section 10: Agreement to be Made
Section 11: Powers of the Institution in Case of Violation of Conditions
Section 12: Registration or Blacklisting to be Cancelled
~~Section 13: Deleted~~
Section 14: Determination of Interest Rate
Section 15: Power to Charge Service Fee
Section 16: Records to be Maintained

CHAPTER 3 – FUNCTIONS, DUTIES AND POWERS

SECTION 8 – FUNCTIONS, DUTIES AND POWERS OF INSTITUTION:



- Encourage low-income persons to form groups and collect micro-savings.



- Provide micro-credit to groups/members for micro-enterprises, with or without security.



- Obtain loans/grants from Government, Bank, and domestic/foreign institutions; prior Government consent through the Bank is required for foreign assistance.



- Assess the feasibility and purpose of projects before providing credit.



- Promote micro-enterprises and provide training, technical knowledge, project assistance and related services.



- Act as an agent of commercial banks or financial institutions.



- Perform other prescribed activities related to micro-savings and micro-credit.



- Monitor proper utilization of credit and take corrective action where necessary.



- Take action to recover overdue micro-credit.



- Support groups in mobilizing savings and credit.

SECTION 9 – POWER TO DEMAND INFORMATION:



- The Bank may require institutions to submit details, statistics, or documents relating to micro-savings and micro-credit.



- Institutions are obligated to provide the information requested.

SECTION 10 – CREDIT AGREEMENT:



- A written agreement must be made with the debtor when providing micro-credit, specifying necessary conditions for security and proper utilization.



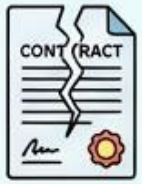
- The agreement may provide for recovery of principal and interest or recovery from security/collective guarantee if conditions are breached.



- Property of a person unrelated to the group cannot be taken as security.

CHAPTER 3 – FUNCTIONS, DUTIES AND POWERS

1 SECTION 11 – RECOVERY FOR VIOLATION OF CONDITIONS







If a debtor breaches the agreement, fails to repay within the specified term, or misuses micro-credit, the institution may auction the security to recover principal and interest.

If the security is transferred to another person or its value decreases, the institution may require additional security; failure to provide it allows recovery through auction.



If the security does not fully cover the debt, the remaining amount may be recovered by auctioning other property on the property of the individual debtor or group members, as applicable.

After deducting auction costs and the institution's principal and interest, any surplus must be returned to the concerned person.

If no bidder comes forward, the institution may accept the property itself, as prescribed.



2 SECTION 12 – REGISTRATION/BLACKLISTING CANCELLATION





Auctioned property shall be transferred or blacklisting cancelled in the successful bidder's name.

If the institution accepts the property itself, it shall be transferred in the institution's name.



The concerned Land Revenue Office shall complete the registration or blacklisting cancellation upon receiving the institution's request.

2 SECTION 13 – DELETED



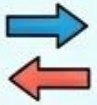
Deleted by the First Amendment.

3 SECTION 14 – INTEREST RATE



The institution determines interest rates on micro-savings and micro-credit, subject to Bank directives.

The determined rate must be reported to the Bank within 7 days.





The Bank may direct the institution to increase or decrease the rate, and the institution must comply.

4 SECTION 15 – SERVICE FEE



The institution may charge a service fee for services, facilities, technical assistance, or training related to micro-savings and micro-credit.



5 SECTION 16 – RECORD KEEPING



The institution must maintain up-to-date records of its financial intermediation activities.



Chapter-4 Functions, Duties and Powers of the Bank

Section 17: Power to Cause Inspection or Inquiry
Section 18: Power to Give Direction
Section 19: Power to Cancel Licence
Section 20: Power to Impose Restriction on Carrying on Financial Intermediation Business
Section 21: Release from Financial Intermediation Business
Section 21A: Recovery from the Personal Property of Officeholder
~~Section 22: Deleted~~
~~Section 23: Deleted~~

CHAPTER 4 – FUNCTIONS, DUTIES AND POWERS OF THE BANK



SECTION 17 – INSPECTION AND INQUIRY

- The Bank may inspect or inquire into the office, activities and operations of an institution.
- The institution and its employees must provide requested documents and information.
- Further inspection procedures are as prescribed.



SECTION 18 – POWER TO GIVE DIRECTIONS

The Bank may direct an institution to correct deficiencies or make special arrangements where it:

- Fails to perform duties under the Act.
- Acts against the interests of depositors or debtors.
- Improperly maintains accounts, ledgers or documents.
- Fails to comply with Bank conditions or directions.
- Misappropriates funds or misuses funds contrary to the Act's objectives.
- Fails to submit required information, statistics or documents.
- Institutions must comply with directions issued by the Bank under the Act or Rules.



SECTION 19 – CANCELLATION/ SUSPENSION OF LICENCE



- The Bank may caution or restrict an institution for violating its directions.
- If directions are violated three times, or specified serious violations occur, the Bank may suspend or cancel the licence.
- Grounds include discontinuing business, fund misappropriation/misuse, failure to implement corrective directions, and failure to renew required registrations/licence.
- The Bank may conduct an inquiry before cancellation and must provide the institution an opportunity to submit clarification.



SECTION 20 – RESTRICTION ON BUSINESS

- The Bank may temporarily restrict financial intermediation activities where an institution's conduct makes continued operation inappropriate.
- The institution must first be given an opportunity to make necessary improvements.



SECTION 21 – RELEASE FROM FINANCIAL INTERMEDIATION



- An institution may apply to cease financial intermediation business.
- If all liabilities are discharged, the Bank may release it from the business.
- If liabilities remain unpaid, the Bank shall restrain the institution from business and request the Government to recover liabilities from its property under the Institution Registration Act, 2034.

SECTION 21A – RECOVERY FROM OFFICEHOLDER'S PERSONAL PROPERTY



- If an officeholder, for personal interest or in bad faith, misuses financial intermediation activities or misappropriates institutional funds, the misappropriated amount shall be recovered from the officeholder's movable and immovable property in Nepal.



SECTIONS 22 & 23 – DELETED:
Both sections have been deleted.

Chapter-5 Fund, Accounts and Audit of the Institution

Section 24: Fund of the Institution
Section 25: Risk-Bearing Fund
Section 26: Accounts and Audit of the Institution
~~Section 27: Deleted~~

CHAPTER 5 | FUND, ACCOUNTS AND AUDIT OF THE INSTITUTION



24 FUND OF THE INSTITUTION

1. Sources of Fund

The fund shall include amounts:

- Received as grant or loan from Government of Nepal, Provincial Government, the Bank, or domestic or foreign associations/institutions
- Received from collection of micro-savings
- Received from commercial banks or financial institutions
- Prescribed portion of fees from members
- Service fee amounts for services provided
- Interest, fees, etc. from micro-credit
- Amounts from other sources

2. Use of Fund

- All expenditures shall be met from this fund.
- Amounts collected from micro-savings and received for micro-credit shall not be used for any other purpose.

3. Deposit and Operation

The fund shall be deposited in an account opened in any commercial bank or financial institution.
The operation of such account shall be as prescribed.

4. Investment of Surplus

If the institution is not in a position to immediately disburse micro-credit, it may, with the approval of the Bank, invest such amount in fixed deposits for a maximum period of six months.

25 RISK-BEARING FUND

1. Creation of Fund

- To cover possible loss or damage arising from micro-credit, the institution shall set up a separate risk-bearing fund.
- By the last day of each fiscal year, the prescribed amount of the total outstanding credit amount under investment shall be credited to this fund.

2. Investment of Fund

The amount credited to this fund may be invested in:

- Government of Nepal or Bank securities, or
- Fixed deposits of commercial banks or financial institutions.

3. Use of Fund

The fund shall be used only for the work of writing off micro-credit.
The institution shall obtain the approval of the Bank before writing off such micro-credit.

26 ACCOUNTS AND AUDIT OF THE INSTITUTION

1. Maintenance and Audit

- The institution shall maintain separate accounts of financial intermediation work.
- The balance sheet for each fiscal year shall be audited by a recognized auditor appointed by the general meeting, within six months of the end of the fiscal year.

2. Tenure of Auditor

The same person or firm shall not be appointed as auditor for more than three consecutive terms.

3. Remuneration

The remuneration of the auditor shall be as fixed by the general meeting of the institution.

4. Power of the Bank

The Bank may, if it so wishes, examine or cause to be examined at any time any part of the accounts of the institution.

27. DELETED | Section 27 has been deleted.

Chapter-6
Punishment

Section 28: Punishment
Section 29: Action May be Taken under Prevailing Law

Chapter 6 – Punishment

Section 28 – Punishment:



Unlicensed financial intermediation:

Fine up to NPR 20,000, imprisonment up to 6 months, or both.

For an institution, the responsible officeholder is punished.



Violation/non-compliance:

Failure to comply with the Act, Rules, Bank orders/directions, information requirements, or submission of false information—where loss/damage occurs–results in

recovery of the loss from the responsible employee plus fine up to NPR 10,000 or imprisonment up to 6 months, or both.



Embezzlement/misuse of institutional funds:

The amount is recovered from the employee, who may face imprisonment up to 5 years, a fine equal to the amount involved, or both.



Deceiving or harming debtors:

The Bank or affected party may take action against the employee under prevailing law.



Section 29 – Action under Prevailing Law:

Punishment under this Act does not prevent additional legal action under other prevailing laws for the same conduct.

Chapter - 7
Miscellaneous

Section 30: Registration Fee or Stamp Duty Not to be Charged
Section 31: Income Tax Exemption
Section 32: Annual Report to be Submitted
Section 33: Consultation to be Made with the Bank
Section 33A: Power to Merge or be Merged
Section 34: Protection for Acts Done in Good Faith
Section 35: To be Governed by Prevailing Law
Section 36: Power to Frame Rules
Section 37: Power to Frame Bye-laws

CHAPTER 7 – MISCELLANEOUS

Key Provisions for Financial Intermediary Institutions



30 NO REGISTRATION FEE OR STAMP DUTY



No registration fee or stamp duty shall be charged when the institution transfers secured property to its own name, or purchases or sells any immovable property.

31 INCOME TAX EXEMPTION



The Government of Nepal may, by publishing notice in the Nepal Gazette, exempt the income earned by the institution from income tax, wholly or partially.

32 ANNUAL REPORT TO BE SUBMITTED



The institution shall, within three months of the end of each fiscal year, submit to the Bank a preliminary annual report of its work and activities along with its profit and loss statement.

33 CONSULTATION TO BE MADE WITH THE BANK



Consultation shall be made with the Bank before an institution is dissolved under the Institution Registration Act, 2034.

33A POWER TO MERGE OR BE MERGED



- Two-thirds of members present at the general meeting must support the merger proposal.
- Merger allowed only between institutions carrying on financial intermediation business under this Act.
- Proposal shall be submitted to the registration office and the Bank. After separate approval, the merging institution ceases to exist.
- The property of the merged institution passes to the surviving institution, and all its liabilities are borne by it.

34 PROTECTION FOR ACTS DONE IN GOOD FAITH



Members or employees of the institution shall not be personally or collectively liable for any act done in good faith under this Act or the Rules framed under this Act.

35 TO BE GOVERNED BY PREVAILING LAW



Matters contained in this Act or the Rules framed under this Act shall be governed accordingly, and other matters shall be governed by prevailing law.

36 POWER TO FRAME RULES



The Bank may frame necessary Rules to implement the objectives of this Act, and such Rules shall come into force after being approved by the Government of Nepal.

37 POWER TO FRAME BYE-LAWS



The institution may, subject to this Act and the Rules framed under this Act, frame such bye-laws as necessary for the conduct of its work, and such bye-laws shall come into force after being approved by the Bank.

KEY PURPOSE | These provisions ensure smooth operation, good governance, accountability, and compliance of financial intermediation institutions for the protection of members and the public interest.

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